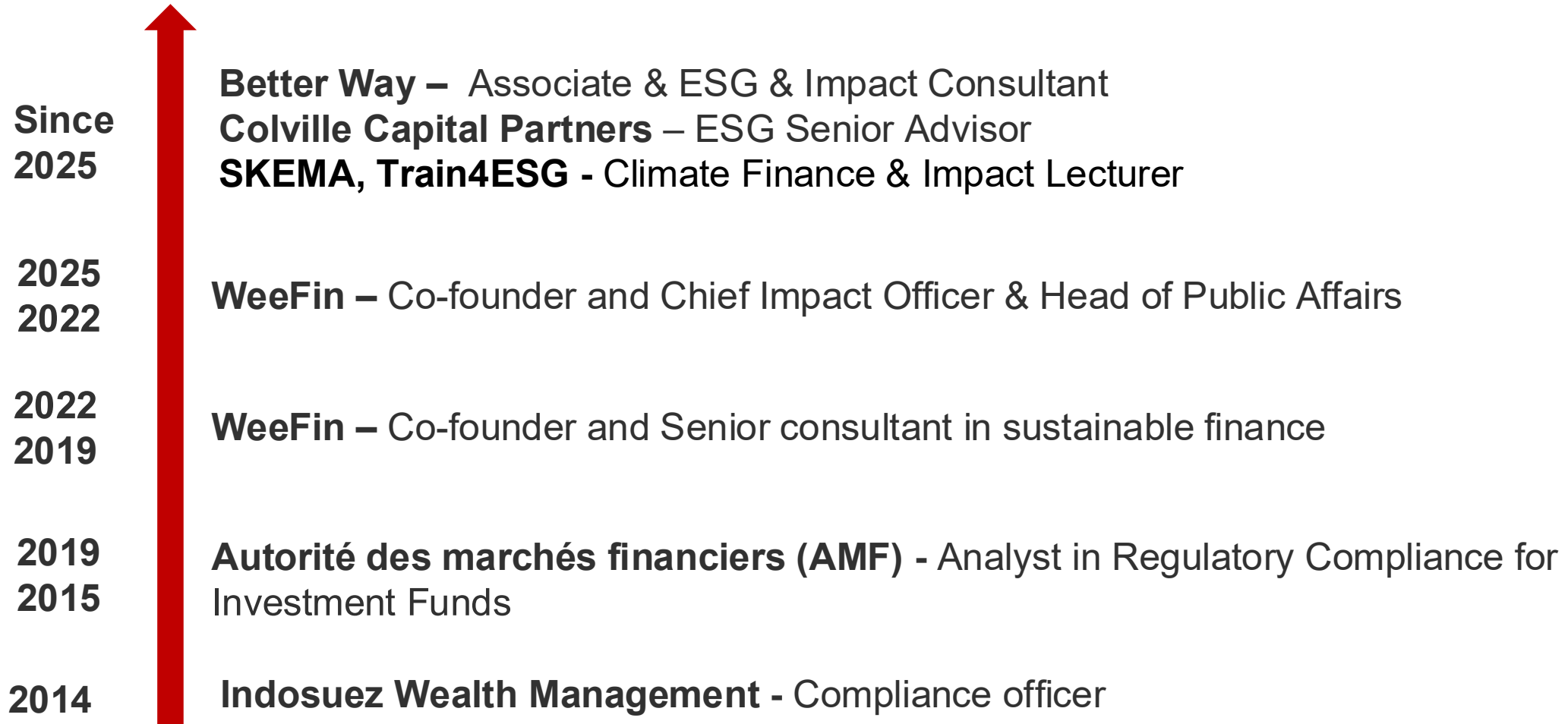


A large, semi-transparent silhouette of a person's head and shoulders, facing right. Inside the silhouette, a composite image of various global cityscapes is visible, including the Eiffel Tower, the Oriental Pearl Tower, and the Empire State Building, all set against a warm, golden sunset or sunrise background. The overall image has a soft, ethereal quality with light rays emanating from behind the silhouette.

SKEMA BUSINESS SCHOOL

skema
BUSINESS SCHOOL

Sabrina Aouida - My career in sustainable Finance



Overview of three areas of expertise

Sustainable Finance Regulation

ESG specialist

Impact & Entrepreneurship.

Course agenda

01

ESG Considerations for Investors

What ESG is, and how ESG risks are identified, administered, valued and built into portfolios.

Identifying ESG risks · Administration · Valuation methods · Portfolio development

02

ESG Regulatory Landscape

The EU and French rules shaping sustainable finance.

SFDR · EU Taxonomy · CSRD · MiFID II · Article 29 LEC

03

Impact Investing

From ESG to impact: definition, measurement (IMM) and the investor's contribution.

Three criteria · The five dimensions · Investor contribution

Module 1

ESG Considerations for Investors

Chapter 1.1 Identifying and assessing ESG Risks Techniques for financial materiality

A brief history

SRI MODERN ERA

Religious approach

Anglo-Saxon Protestant Quakers: In the United States during the 1920s, Quakers avoided investing in activities deemed immoral. They excluded “sin stocks” such as alcohol, tobacco, and gambling from their portfolios.

- **Islamic-Compliant Investments:** These adhere to Sharia law, prohibiting interest on loans and avoiding investments in activities contrary to Islamic principles.

Activist approach

In the 1970s, responsible investing took on a more secular and activist turn, driven by international geopolitical issues such as Apartheid, the Vietnam War, and nuclear energy.

This period also saw the creation of the first U.S. socially responsible investment fund: **Pax World Fund**.

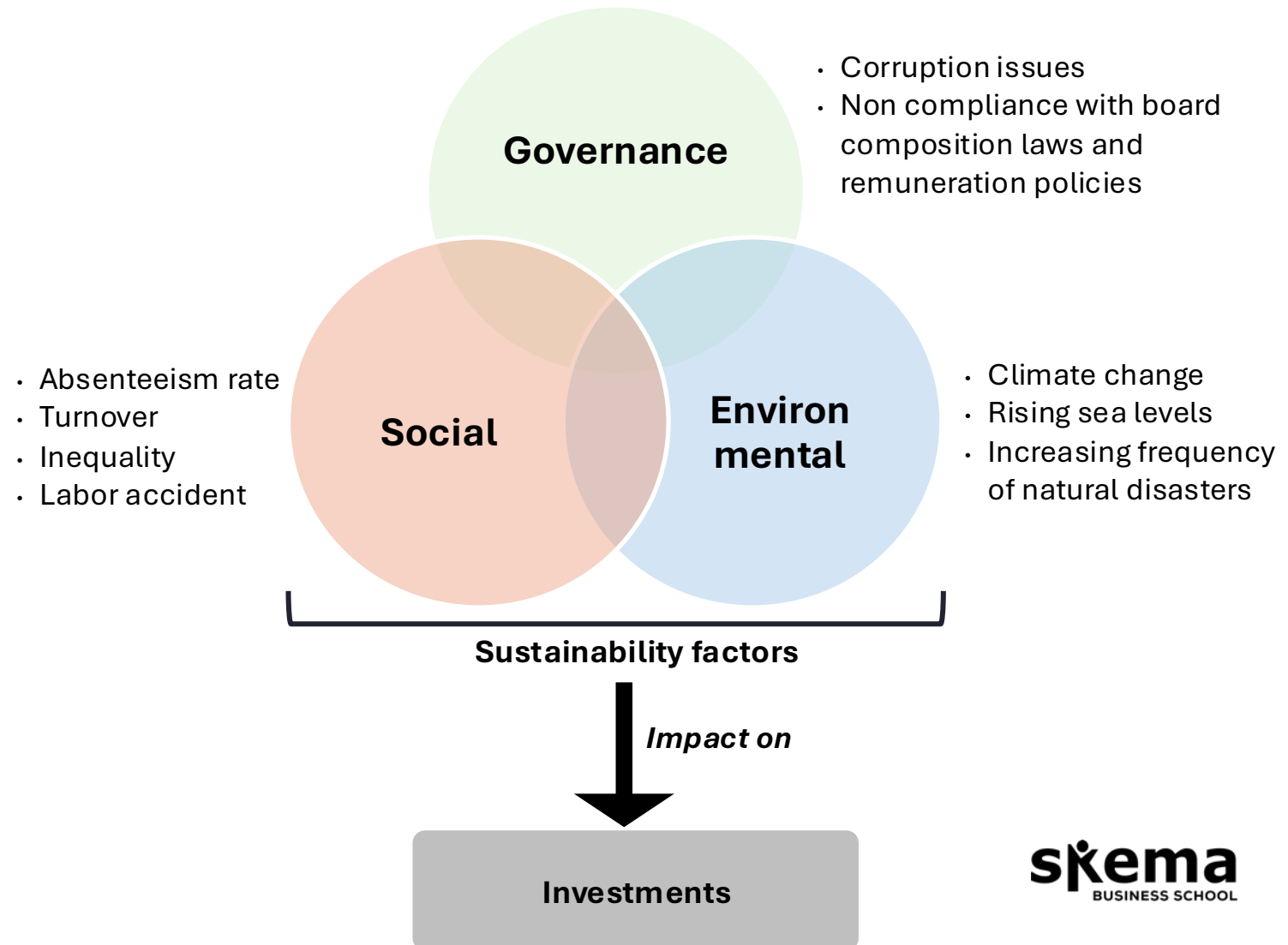
Responsible approach

In France:

- Growth of movements advocating for more responsible finance: as early as 1983, the first “solidarity” and “sharing” funds emerged.
- Development of the first “green” funds in the 1990s.
- Establishment of the first European extra-financial rating agencies and research centers, such as ORSE (2000) and Novethic (2001).
- Launch of the first French label for Responsible Investment in 1997: Finansol.

ESG criteria have an impact on investments

- ESG risk refers to environmental, social, and governance (ESG) factors that affect **a company's performance**.
- These factors can impact a company's **operations, reputation, and financial performance**.
- The most critical aspect of ESG risk management is **first identifying** these risks. Without proper identification, companies **cannot effectively assess or mitigate potential impacts**. Once risks are identified and quantified, companies can implement tools to manage and reduce their effects.



Environmental risks

- Environmental risks include **climate change, resource depletion, pollution, and biodiversity loss**.
- For companies, these risks may manifest as **regulatory penalties, rising operational costs** due to resource scarcity, or **damages** caused by climate-related events such as floods or hurricanes.
- Companies that are **slow to adopt sustainable practices** may also **lose customers** who increasingly favor environmentally responsible brands, leading to reduced revenues and lower competitiveness in the market.

Example - Environmental risk (physical)

- **Context :**

An automotive company operates a key manufacturing site in a flood-prone area.

- **Risk :**

Acute physical risk due to extreme weather (flooding)

- **Impacts :**

Temporary shutdown of operations

Supply chain delays

Equipment damage and increased insurance costs

Revenue loss and reputational risk

- **Financial consequence :**

↓ quarterly revenue, ↑ recovery costs, ESG rating downgrade

Social risks

- **Social risks** relate to how a company manages its **relationships with employees, communities, and consumers.**
- Poor working conditions, human rights violations, or neglect of employee health and safety can lead to strikes, **legal action, and reputational decline.**
- Companies that **fail to promote inclusion, diversity, and employee well-being** may also struggle to attract and retain talent, weakening organizational cohesion and overall performance.

Example – social risk (employee turnover)

- **Context :**

A retail company experiences high employee turnover, particularly in frontline sales positions, due to low wages, limited career progression, and lack of engagement.

- **Risk :**

Chronic turnover reduces workforce stability and undermines operational efficiency.

- **Impacts :**

Increased recruitment and training costs
Decline in customer service quality
Difficulty attracting skilled talent

- **Financial consequence :**

↑ operational expenses, ↓ productivity and service quality, long-term decline in competitiveness

Governance risks

- **Governance risks** arise from weak corporate governance practices, including corruption, lack of transparency, and poor decision-making.
- These risks often lead to **legal action, financial mismanagement, and erosion of stakeholder trust.**
- Companies with **fragile governance structures** may also face greater difficulties **attracting investment**, as investors increasingly seek transparency and accountability in the companies they support.

Example - Governance risk (corruption)

- **Context :**

A company is criticised for lack of board independence and excessive concentration of power.

- **Risk :**

Weak board oversight and potential conflicts of interest

- **Impacts :**

Investor dissatisfaction

Strategic decision-making constraints

Reputational scrutiny

Increased governance-related pressure

- **Financial consequence :**

↓ shareholder value, ↑ governance risk perception, ↓ investor confidence

Mapping of key ESG risks and their characteristics

Sustainability Risk	Effects	Probability	Time Horizon	Impact
<i>Corruption</i>	- Unethical or even fraudulent behavior - Non-compliance with laws and regulations	Medium	Medium term	High
<i>Lack of checks and balances</i>	- Difficulties attracting and retaining investors; - Financial and reputational repercussions - Non-compliance with laws and regulations - Loss of key talent and leadership	High	Medium term	High
<i>Financial health of the company</i>	- Difficulties attracting and retaining investors; - Financial and reputational repercussions; - Loss of key talent and leadership	Medium	Medium term	High
<i>Biodiversity</i>	Ecosystem disruption; Negative consequences for populations and businesses relying on ecosystem services	Low	Long term	Moderate
<i>Physical risks</i>	- Natural disasters - Financial repercussions (direct damage to assets); - Indirect repercussions (supply chain disruptions)	Medium	Short term	Moderate
<i>Transition risks</i>	- Non-compliance with laws/regulations (carbon prices, emission quotas) - Tech delays (low-carbon alternatives) - Financial repercussions (costs, market instability); Reputational risk (consumer preference shift)	High	Medium term	Moderate
<i>Absenteeism</i>	- Lower productivity and performance - Deterioration of workplace climate and well-being - Financial and reputational repercussions	Medium	Medium term	Moderate
<i>Workplace inequalities</i>	- Non-compliance with laws and regulations - Financial and reputational repercussions - Difficulty attracting and developing talent - Loss of key talent and leadership	High	Medium term	High
<i>Staff turnover</i>	- Difficulty attracting, developing, and retaining talent - Loss of key talent and leadership - Financial and reputational repercussions	High	Short term	Moderate

This risk mapping provides a **cross-sectoral overview of key ESG risks** and their typical characteristics. However, risk indicators may vary significantly depending on the sector, geographic location, and company size, requiring a **materiality assessments**.

How to determine material ESG risks for each company?



Why materiality assessment matters ?

- Not all ESG risks are equally relevant across all companies.
- A focused materiality analysis helps investors prioritise risks likely to affect financial performance.

How to determine material ESG risks for each company?

Methodologies to assess ESG materiality

- **SASB materiality map** (listed and mature companies)
 - Provides sector-specific guidance on financially material ESG issues.
 - Based on evidence of industry relevance and potential impact.
 - Covers 77 industries.
- **CSRD / ESRS materiality assessment (large listed and private companies in the EU)**
 - Requires a **double materiality** approach (impact materiality + financial materiality).
 - Involves structured stakeholder engagement process.
 - Offers templates and sector-specific standards.
- **TCFD** (*and its ISSB successor*)
 - Focused on climate-related risks (physical + transition).
 - Provides sectoral guidance with emphasis on scenario analysis.
 - Encourages forward-looking assessments.
- **Proprietary risk materiality matrices**
 - Custom tools developed by investors or companies
 - Combine qualitative and quantitative indicators
 - Often integrate external data sources and internal expert judgement

Where to find ESG risk data on companies?

Through public
sources



With a survey
filled by
companies



Through a
discussion with
the company

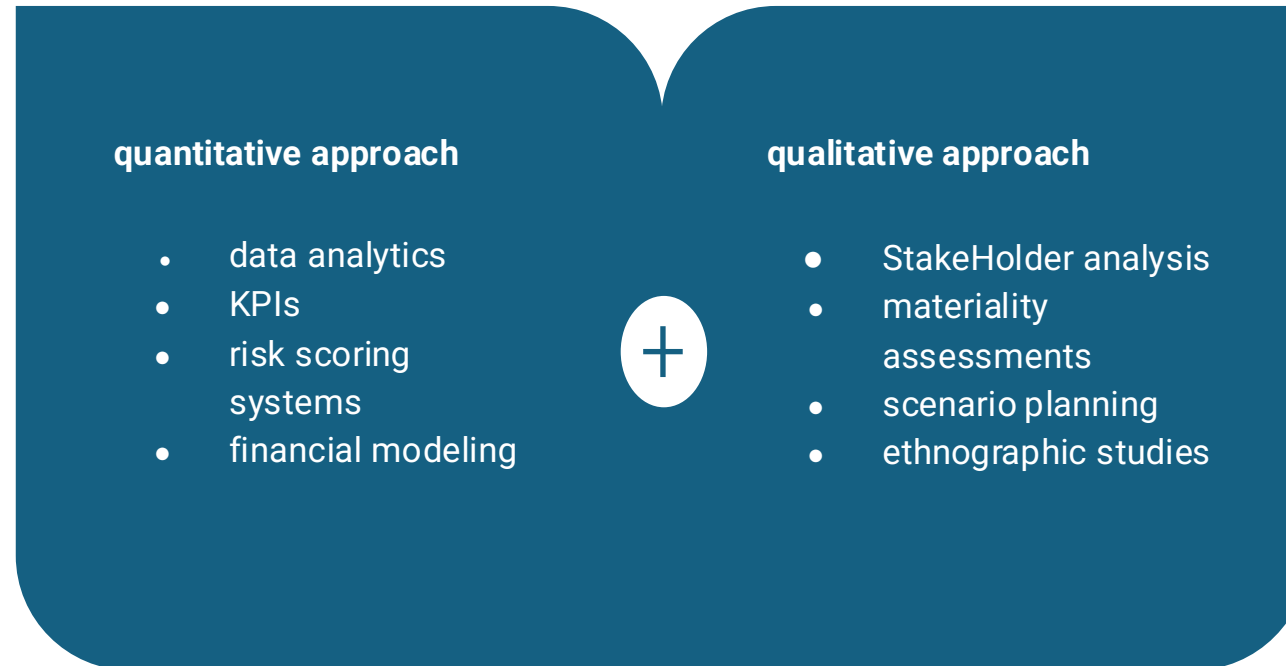


Based on other
data providers



Bloomberg

What types of ESG data are used?



Key ESG data sources

- **LSEG:** Covers nearly 16,000 companies with over 800 ESG indicators and historical data going back to 2002.
- **S&P Global:** Provides up to 1,000 ESG-related indicators per company, verified from public sources.
- **MSCI:** Assesses companies' resilience to financially material sustainability risks and covers over 17,000 issuers.
- **GRESB:** Specialised in real estate and infrastructure, it collects ESG data relevant to these sectors.
- **World Bank - DataBank:** Public database with macro ESG data by country and company.
- **Other sources:** Academic platforms or data providers like Bloomberg Terminal or Datastream also provide access to ESG data.

Resources

- **EBA (2022)** - *Guidelines on the management of ESG risks for credit institutions and investment firms* : <https://www.eba.europa.eu/sites/default/files/2025-01/fb22982a-d69d-42cc-9d62-1023497ad58a/Final%20Guidelines%20on%20the%20management%20of%20ESG%20risks.pdf>
- **UN PRI (s.d.)** - *Environmental, Social and Governance issues* : <https://www.unpri.org/sustainability-issues/environmental-social-and-governance-issues>
- **Sustainalytics (2024)** - *ESG Risk Ratings – Version 3.1 Methodology Abstract* : https://www.sustainalytics.com/docs/knowledgehublibraries/default-document-library/sustainalytics_-esg-risk-ratings_-version-3-1_-methodology-abstract_-june-2024.pdf
- **EFRA**G (2023) - *ESRS 1 – General requirements (for CSRD reporting)* : <https://www.efrag.org/en/sustainability-reporting/esrs-workstreams>
- IFRS Foundation (2024) - *IFRS S2: Climate-related Disclosures* : <https://www.ifrs.org/issued-standards/ifrs-sustainability-standards-navigator/ifrs-s2-climate-related-disclosures/>



Quiz

Once ESG risks are identified and assessed for their financial materiality, what is the most important next step for an investor ?

- A. Rank the companies based on their ESG scores
- B. Communicate externally to show ESG awareness
- C. Define risk mitigation strategies and monitor implementation
- D. Exclude all companies with any ESG risks from the portfolio

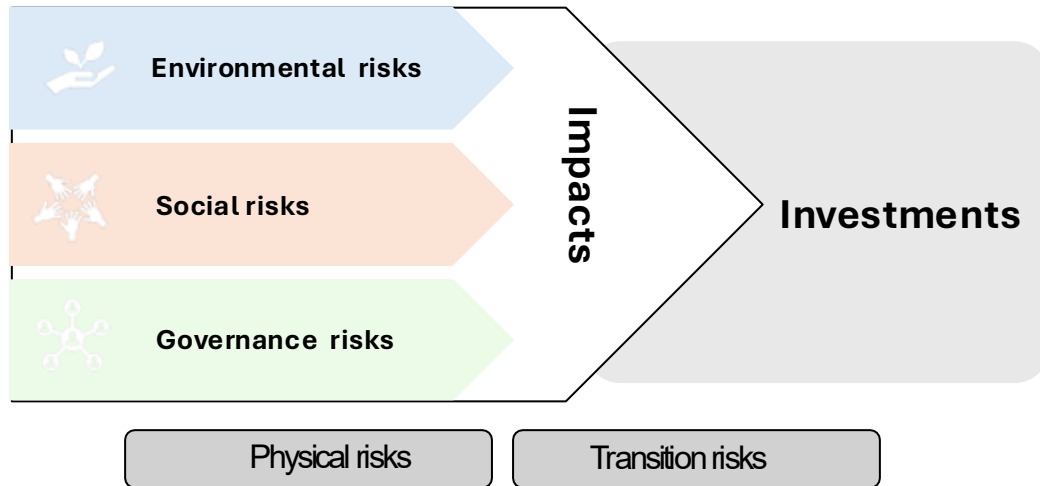
Chapter 1.2 Administration of ESG Risks

Introduction to ESG risks administration

- To address the notion of ESG risk management, we will look at what we can measure.
- Indeed, the ESG data that can be aggregated at the level of a financial portfolio is sometimes partial and only deals with part of the ESG issues. ESG data aggregated at portfolio level is often:
 - Partial and fragmented
 - Not comparable across sectors or company sizes
 - Limited to quantifiable indicators
 - Focused mostly on “E” (Environmental) metrics

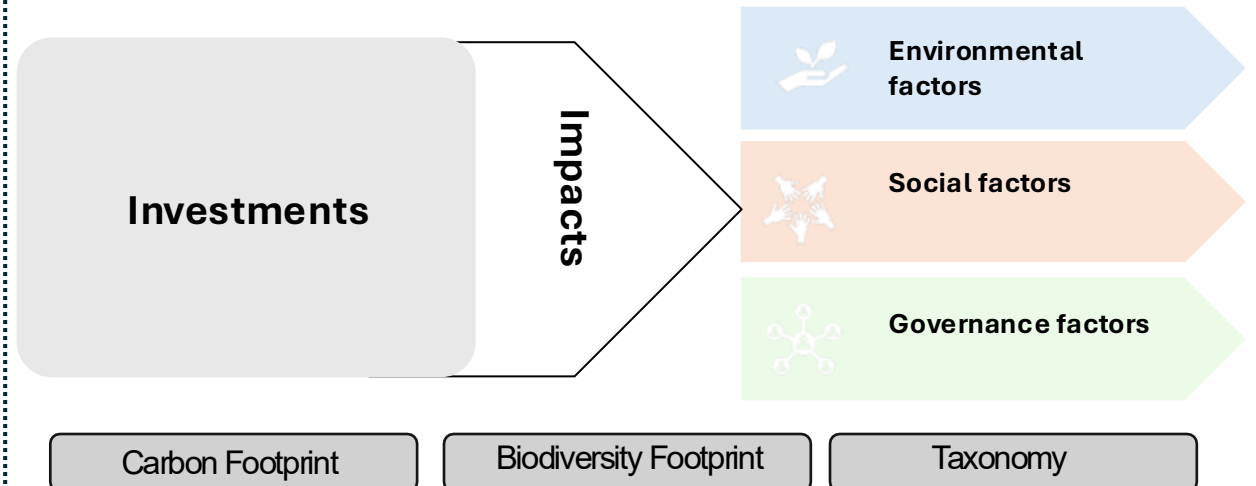
What measure for what materiality ?

(1) Financial materiality : ESG risks



Simple materiality (1)
Key regulation (TCFD, SASB)

(2) Impact materiality : ESG impacts



Double materiality (1) + (2)
Key regulation CSRD, ESRS

Methods for mitigating ESG risks

Environmental risks mitigation

- Climate resilient strategy (SBTi, TCFD)
- Energy efficiency initiative
- Sustainable resources management

Social risks mitigation

- Improving labor practices (ILO, UNGPs)
- Community engagement
- Diversity and inclusion

Governance risks mitigation

- Strengthening corporate governance (OECD Principles, UNGC)
- Transparency and reporting
- Regulatory compliance (UN Global Compact)

Exposure to carbon intensive sectors

Definition: Exposure to the sectors with the highest carbon intensity limited to the energy sector or directly to stranded assets



Exposure to fossil fuel sector

Exposure of Financial Assets and Unit-Linked Assets to Fossil Fuels

Indicator	Financial Assets and Unit-Linked Assets	Financial Assets	Unit-Linked Assets
Scope of analysis (listed companies under direct and delegated mgmt)	53%	52%	97%
Coverage rate (based on the analysis scope)	87%	87%	91%
Coal share	2.2%	2.2%	2.5%
Coal share weighted by revenue	0.0%	0.0%	0.0%
Exposure to unconventional fossil fuels	0.0%	0.0%	0.0%
Exposure to unconventional fossil fuels weighted by revenue	0.0%	0.0%	0.0%
Total fossil fuel exposure	3.9%	3.8%	4.8%
Total fossil fuel exposure weighted by revenue	1.5%	1.5%	1.9%

 Source: Carbon 4 Finance, S&P Trucost, MAIF

<https://entreprise.maif.fr/files/live/sites/entreprise-Maif/files/pdf/nos-rapports/rapport-esg-climat/Groupe%20MAIF%20Rapport%20Investissement%20durable%202024.pdf>

Exposure to carbon intensive sectors

Definition: Exposure to the sectors with the highest carbon intensity limited to the energy sector or directly to stranded assets

 Main contributors to turnover derived from fossil fuels - Ircantec Global Portfolio



Carbon Emission of stranded assets

Name	Sector	Weight (%)	Turnover from fossil fuel production	Total turnover	Weighted average	Climate Action 100+
Iberdrola S.A.	Utilities	1.18%	18.27%	18.27%	0.22%	Yes
Veolia Environnement SA	Utilities	0.71%	16.20%	16.20%	0.12%	No
NextEra Energy, Inc.	Utilities	0.18%	60.53%	60.53%	0.11%	Yes
EDP - Energias de Portugal, S.A.	Utilities	0.37%	23.41%	23.41%	0.09%	No
SSE plc	Utilities	0.37%	23.41%	23.41%	0.09%	Yes
Enel SpA	Utilities	0.34%	19.66%	19.66%	0.07%	Yes
Air Liquide S.A.	Materials	0.83%	4.90%	4.90%	0.04%	Yes
Naturgy Energy Group, S.A.	Utilities	0.14%	23.93%	23.93%	0.03%	Yes
Electricité de France S.A.	Utilities	0.37%	8.14%	8.14%	0.03%	Yes
A2A S.p.A.	Utilities	0.14%	18.87%	18.87%	0.03%	No

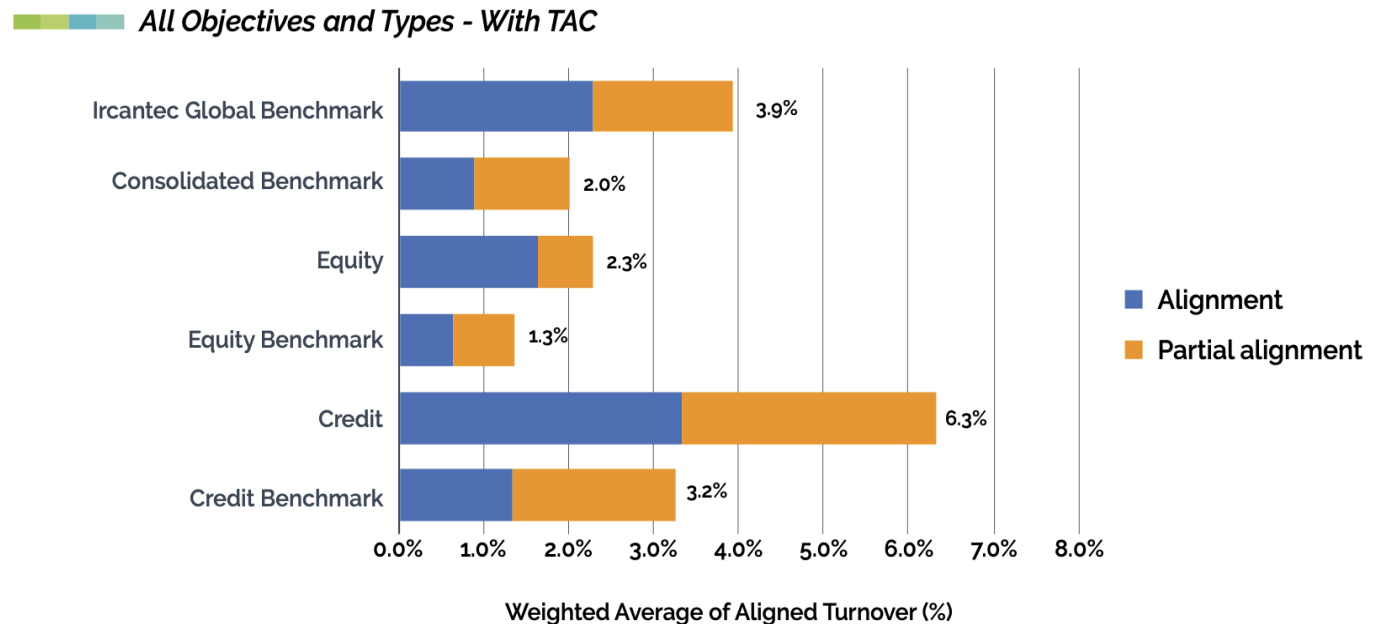
https://www.ircantec.retraites.fr/sites/default/files/Durabilite24Gb_0.pdf

Green Share

Definition: Part of a specific company activity that can be linked to green activities (e.g. Contribution to the energy transition)



Green share (taxonomy alignment coefficient) of each portfolio compared to the benchmark



2° alignment : portfolio temperature (Carbone 4)

Definition: Alignment of the portfolio with the international temperature scenarios

Portfolio or Index	Induced emissions	Emissions savings	Temperature alignment
S&P 500	108	-5	]3.5°C;4°C]
MSCI World	137	-8	
MSCI Europe	203	-12	]2.5°C;3°C]
CAC 40	221	-19	
Barclays Euro Aggregate Corporate	161	-53	
Barclays Euro Aggregate 500	126	-35	]2°C;2.5°C]
Euronext Low Carbon 300	67	-14	
Mirova Global Sustainable Equity Fund ³	55	-14	<2°C
Mirova Europe Sustainable Equity Fund ⁴	113	-45	
Mirova Europe Environmental Equity Fund ⁶	170	-54	1.5°C
Mirova Global Green Bond Fund ⁶	204	-602	

Figure 6: Result of the CIA methodology on a few Mirova portfolios and market indices

Source: Mirova

https://www.mirova.com/sites/default/files/2023-02/Temperature-Alignment-Of-Listed-Investment-Portfolios_July2022.pdf



Quiz

Now that we know how to identify material ESG risks, what is the biggest challenge when it comes to managing them at portfolio level?

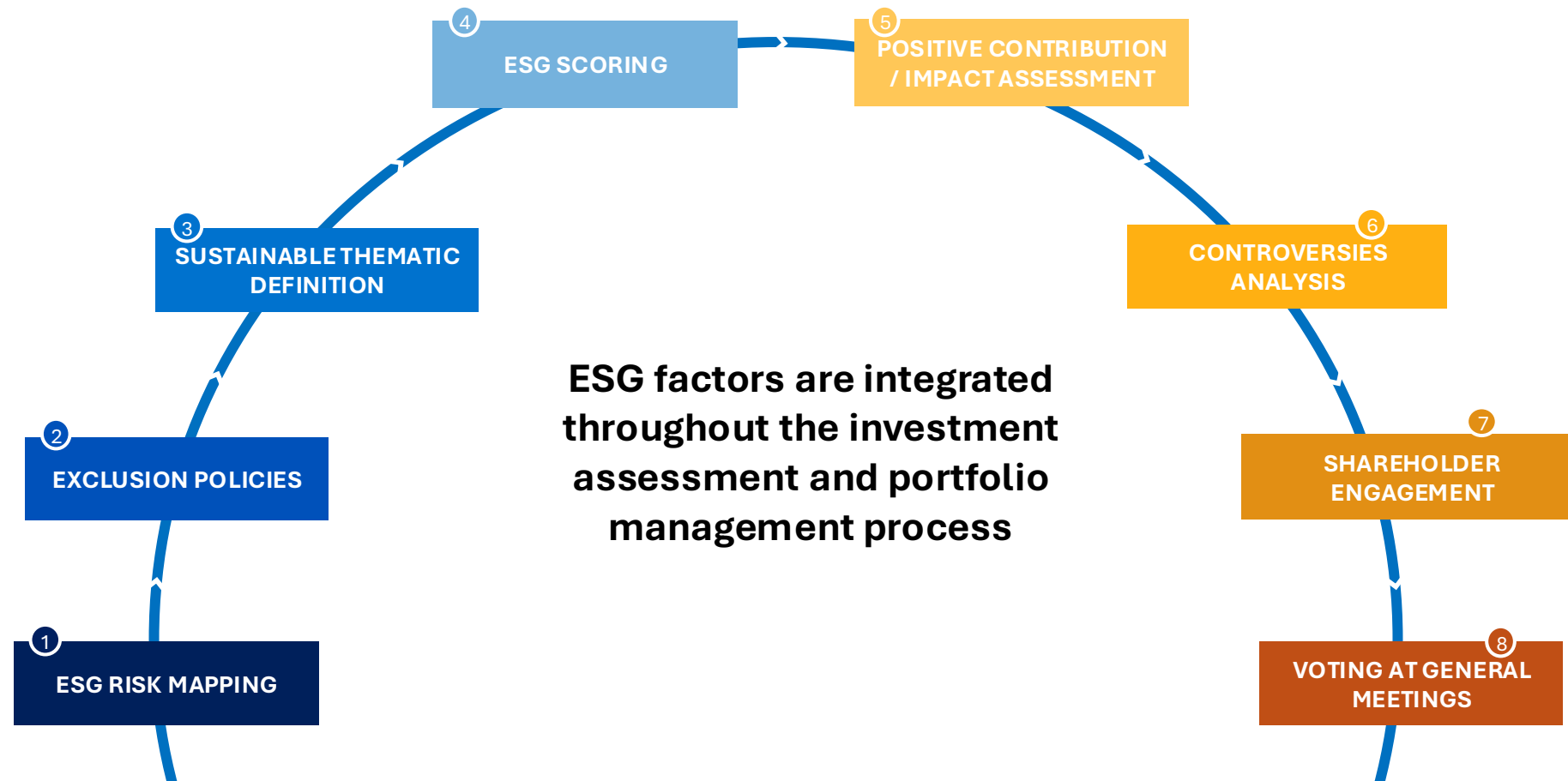
- A. Getting full ESG data across all companies
- B. Selecting the right ESG rating provider
- C. Aggregating ESG risks only on the governance pillar
- D. Measuring company emissions only in scope 1

Resources

- 2° Investing Initiative (2015) “ Risk & transition in a low-carbon economy (working paper) ” : https://www.i4ce.org/wp-content/uploads/2022/07/2dii_risk_transition_low-carbon_workingpaper_jul2015-2-1.pdf
- IFRS Foundation (2023) “ IFRS S2: Climate-related Disclosures ” : <https://www.ifrs.org/issued-standards/ifrs-sustainability-standards-navigator/ifrs-s2-climate-related-disclosures/>
- PCAF (2022) “ The Global GHG Accounting & Reporting Standard for the Financial Industry – Part A ” : <https://carbonaccountingfinancials.com>
- Mckinsey (2022) “Managing financed emissions: How banks can support the net-zero” transition <https://www.mckinsey.com/industries/financial-services/our-insights/managing-financed-emissions-how-banks-can-support-the-net-zero-transition#/>

Chapter 1.3 Valuation Methodologies for ESG : Employing ESG factors in investment assessment and portfolio management

ESG integration throughout the investment lifecycle



What exclusion filters?

- Exclusion criteria often address the most pressing challenges facing society, such as **threats to human dignity, social cohesion, environmental protection, or unethical business practices**.
- They may target **specific industries** (e.g. gambling, pornography, or oil & gas) or apply across all sectors, based on **business conduct** (e.g. child labor, modern slavery).

Two types of exclusion applied to portfolio

Normative exclusion

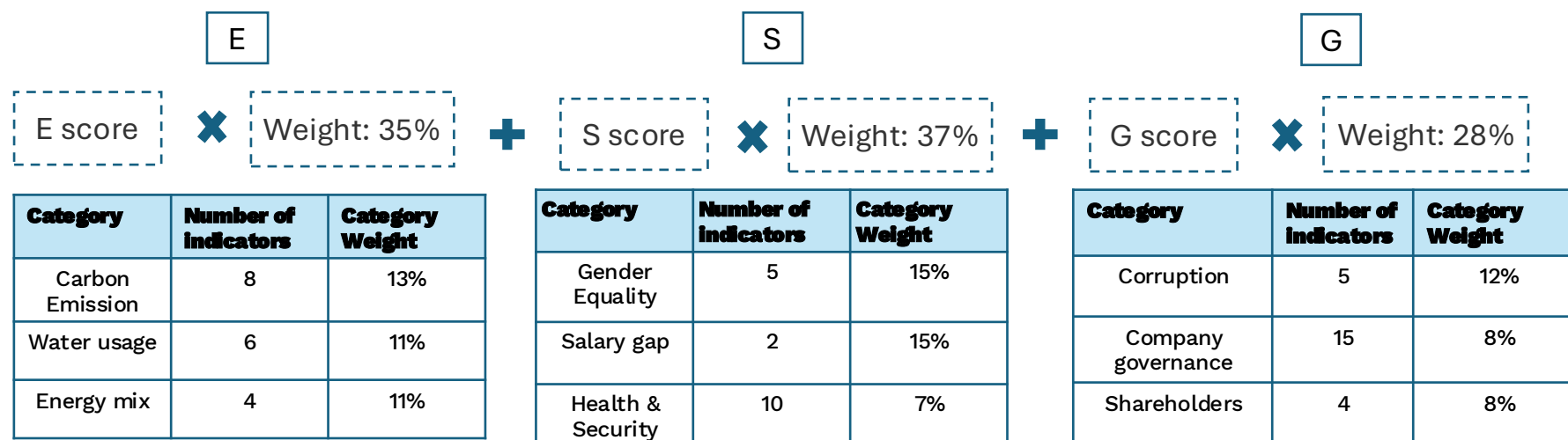
Sectoral exclusion

Non exhaustive list of normative and sectoral exclusion



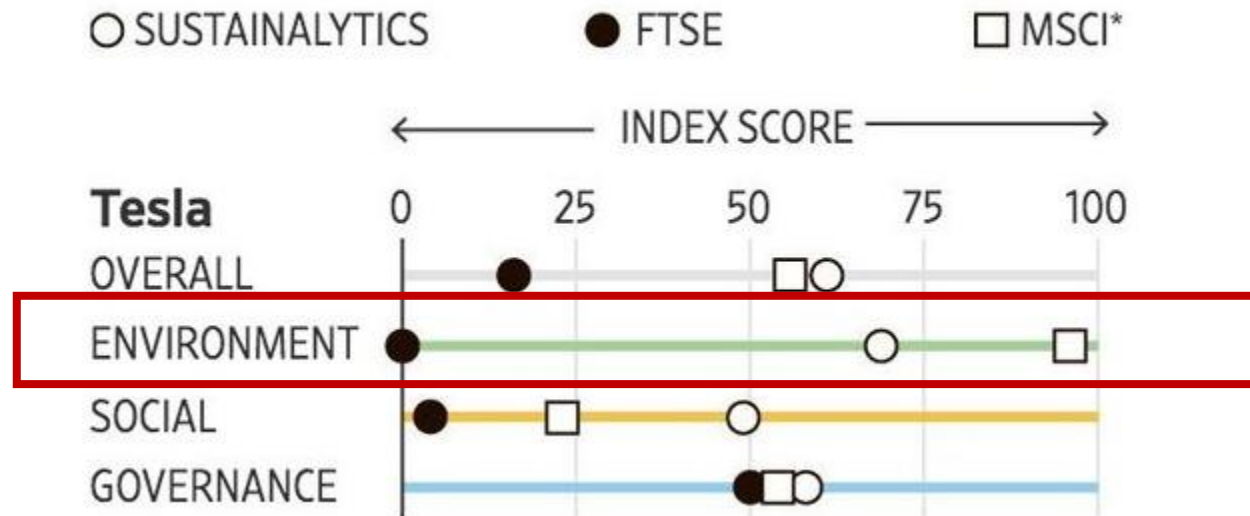
How to build an ESG score ?

- Depending on the positioning of a company, it is possible to **analyze the 3 pillars E, S, G** or only one of these pillars.
- These pillars are split into several categories, which may themselves **contain numerous indicators**.
- Each indicator is then analyzed according to the **objectives and policies implemented by the company**, their **deployment and their results**.
- A score is assigned to **each criterion and then weighted**.
- The **overall ESG score** is then calculated.



DIFFERENCES IN ESG SCORING CAN LEAD TO OPPOSITE RESULTS

Example on TESLA



Source: Wall Street Journal - Is Tesla or Exxon More Sustainable? It Depends Whom You Ask

ESG integration – best-in-class

Invest only in companies which have the best ESG scores

- Example 1 on GAFA (Yahoo Finance – Sustainalytics Data)

Amazon

E	S	G	Total
41	47	47	45

Worst performer

Alphabet

E	S	G	Total
76	65	43	63

Best Social score

Apple

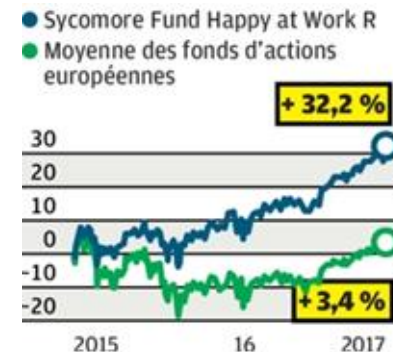
E	S	G	Total
89	57	60	71

Best overall Performance

Facebook

E	S	G	Total
62	59	44	56

- Example 2: Sycomore AM Happy at work fund: investment strategy that focus on companies that value human capital (European equity)



PUBLIC DATA SOURCE

Data provider	Entity type	Dataset	Thematic	Granularity	location_scope	link
World Bank	Global institution	Worldwide Governance Indicators	Governance	Country	world	https://www.worldbank.org/en/publication/worldwide-governance-indicators
Robeco		Exclusion list	Exclusion	Company	world	https://www.robeco.com/files/docm/docu-exclusion-list.pdf
Urgewald		GOGEL	Climate (Oil & Gas)	Company	world	Home gogel
Urgewald		GCEL	Climate (Coal)	Company	world	GCEL 2023 Global Coal Exit List
SBTI		companies-taking-action	Climate (targets)	Company	world	Companies taking action - Science Based Targets
SDG Index		SDR	Overall (SDGs)	Country	world	Sustainable Development Report 2023 (sdgindex.org)
UN Global Compact		Global Compact signatories	Human & Labour rights	Country	world	UN Global Compact Principles
Climate Action 100 +		CA100+ Benchmark	Climate (benchmark)	Company	world	The three goals Climate Action 100+
Transition Pathway Initiative		Sector assessment	Climate			Management quality and carbon performance methodology
Transition Pathway Initiative		Banking assessment	Climate			Assess banks on the transition to net zero
FAO		Food and agriculture indicators	Agriculture	Country	world	https://www.fao.org/faostat/en/#home
Yale University	University	EPI	Biodiversity (environment)	Country	world	https://epi.yale.edu/
Reclaim Finance		Coal policy	Climate (Charbon)	Company	world	https://coalpolicytool.org/methodology/
Reclaim Finance		Oil and gas policy	Climate (Oil&Gas)	Company	world	https://oilgaspolicytracker.org/methodology-oil-gas-policy-tracker/
Chemsec		SIN Producers list	Biodiversity (Chemicals p	Company	world	https://chemsec.org/
Global Canopy		Forest IQ	Biodiversity	Company	world	Forest IQ Methodology
ShareAction		Workforce Disclosure Initiative (WDI)	Governance and social	Company	world	https://shareaction.org/workforce-disclosure-initiative/workforce-disclosure-initiat
Pesticide Action Network International (PAN)		Exclusion list	Exclusion	Country	world	PAN International Pesticides don't respect national borders (pan-international.o
UNDP		Human Development Index (HDI)	Development	Country	world	https://report.hdr.undp.org/intro/
UNDP		GENDER INEQUALITY INDEX (GII)	Inequality	Country	world	https://hdr.undp.org/data-center/thematic-composite-indices/gender-inequality-in
Walk Free Foundation		Global Slavery Index	Slavery	Country	world	https://www.walkfree.org/global-slavery-index/
Transparency International		Corruption Perceptions Index	Corruption	Country	world	https://transparency-france.org/nous-connaître/nos-publications/indice-de-percer

The data is publicly accessible, mostly free of charge, but it is not always ready-to-use; it may require processing and quality enhancement. Some sources provide unstructured data.

Sustainable Thematic Definition: Leveraging SDGs

- **Sustainable investment strategies** often rely on broad thematic definitions, frequently aligned with the **UN Sustainable Development Goals (SDGs)**, which offer a widely recognized environmental and social framework.
- Investors assess a **company's products and services** to see how they contribute to SDGs, but this approach has limits:
 - It lacks **granularity and rarely** considers SDG sub-targets
 - It's often **limited to surface-level alignment**, not deep transformation
 - It uses impact **indicators closer to business KPIs** (e.g. jobs created, CO₂ avoided, patients treated)
- While useful to frame positive contributions, SDG alignment **does not replace ESG risk or sustainability performance assessment**.



Controversy analysis, a critical complement to ESG Scores

Controversies act as red flags, they help investors assess whether a company's ESG performance is consistent and resilient over time.

While ESG scores assess a company's exposure to long-term risks and its management practices, **controversy analysis provides insight into real-life incidents** that may challenge its ESG profile.

In this example, **Boeing** presents a **“Severe” ESG Risk Score** (33.1), largely driven by **social controversies** (e.g. safety failures, labor issues). Sustainalytics assigns a **controversy level of 4/5**, indicating **high exposure to recent or ongoing ESG incidents** with potential reputational, legal or financial consequences.

<https://finance.yahoo.com/quote/BA/sustainability/>

The Boeing Company (BA) ☆ Follow

212.94 **+1.05** **+(0.50%)** **215.25** **+2.31** **+**

At close: October 17 at 4:00:02 PM EDT

After hours: October 17

Environment, Social and Governance (ESG) Risk Ratings

Total ESG Risk Score

33.1

Severe

Environmental Risk Score

10.9

Social Risk Score

17.8

Governance Risk Score

4.5

Controversy Level ⓘ

ESG data provided by Sustainalytics, Inc. Last Updated on 10/2025

● BA ▼ Category Average

4 | High Controversy Level



Engagement, a progressive and pragmatic approach

Key principles

- Interior **transformation** of corporate practices
- **Constructive dialogue** and **positive incentives**

The stages of engagement



Subject Identification



Goal Setting



Monitoring & Reporting



Policy of escalation that can go as far as divestment



Vote at the general meeting

Resources

- **European Commission (2024)** – *ESG rating activities (tools and standards for sustainable finance)* : https://finance.ec.europa.eu/sustainable-finance/tools-and-standards/esg-rating-activities_en
- **UN PRI (2020)** – *Investing with SDG outcomes: A five-part framework* <https://www.unpri.org/sdgs/investing-with-sdg-outcomes-a-five-part-framework/5895.article>
- **NBIM / Norwegian Government Pension Fund** (2025) – *Ethical Guidelines for Exclusion of Companies* : <https://www.nbim.no/en/the-fund/responsible-investment/exclusion-of-companies/>
- **Sustainalytics (2023)** – *Corporate ESG Reports & Controversies Framework* : <https://www.sustainalytics.com/corporate-solutions/esg-risk-ratings>



Quiz

Match each **ESG approach** with its **main objective**

ESG Approach	Main objective	Advantage	Limitation
Exclusion		Easy to implement	Low transformational impact
Scoring		Robust quantitative tool	Methodological inconsistencies
Engagement		Dynamic approach	Long and uncertain process
Thematic		Strong narrative	May lack rigor
Impact		Intentionality + measurability	Hard-to-access data

Generate measurable outcomes

Select top performers based on ESG criteria

Reduce ethical risks

Influence corporate practices

Align with SDG challenges

Module 2

ESG regulatory landscape

Q/A SESSION

What financial regulations do you know about?

How do you think regulations might influence the behaviors of investors and financial institutions?

But then, what is the point of sustainable finance?

Various objectives to reconcile economic performance with positive E&S impacts

The regulatory landscape uses three main action levers...



Redirecting capital

towards investments that promote sustainable and socially just growth



Managing financial risks

caused by climate change, resource depletion, environmental degradation, and social issues



Promoting transparency

and a long-term vision for economic and financial activities

...in order to meet two objectives



Fighting against greenwashing

so that ESG is not just a marketing argument but is fully integrated into the strategy of actors



Enhancing investor protection

by allowing them to save and invest in activities aligned with their "sustainability preferences"



Key French and EU Regulatory Initiatives



TAXONOMY

Classification of sustainable activities enabling financial and non-financial companies to share a common definition of sustainability and to maintain trust in sustainable products.



All financial actors : Reporting on the % of alignment with the Taxonomy across all investments
Art. 8 & 9 Funds : Detailed reporting on the % of alignment with the Taxonomy



SFDR

Regulation designed to allow investors to compare various sustainable investment strategies. Information is now presented uniformly and in detail.



All financial actors : Reporting on the consideration of the negative impact induced by double materiality
Art. 8 & 9 Funds : Additional reports for greater transparency on the ESG process (e.g. Pre-contractual & periodic annexes, website disclosures, etc.)



ARTICLE 29 LEC

French Regulation replacing the previous Article 173 LECV framework, which required financial actors to publish an extra-financial report (Climate, Biodiversity, ESG Risks)



Financial actors with AuM > 500M€ :
Comprehensive entity-level reporting
Financial actors with AuM < 500M€ :
Simplified entity-level reporting
Financial product with AuM > 500M€ :
Product-level reporting



MiFID II ESG

MiFID II requires financial intermediaries to consider their clients' sustainability preferences. The aim is to create a questionnaire and ensure the matching of ESG preferences with the product offerings.



Actors offering financial products :
Product categorization based on the % of SI, the % of alignment with the EU taxonomy, and PAIs



CSRD

Regulation strengthening non-financial reporting for large companies. The aim is to improve transparency and comparability of sustainability data, encouraging best practices.



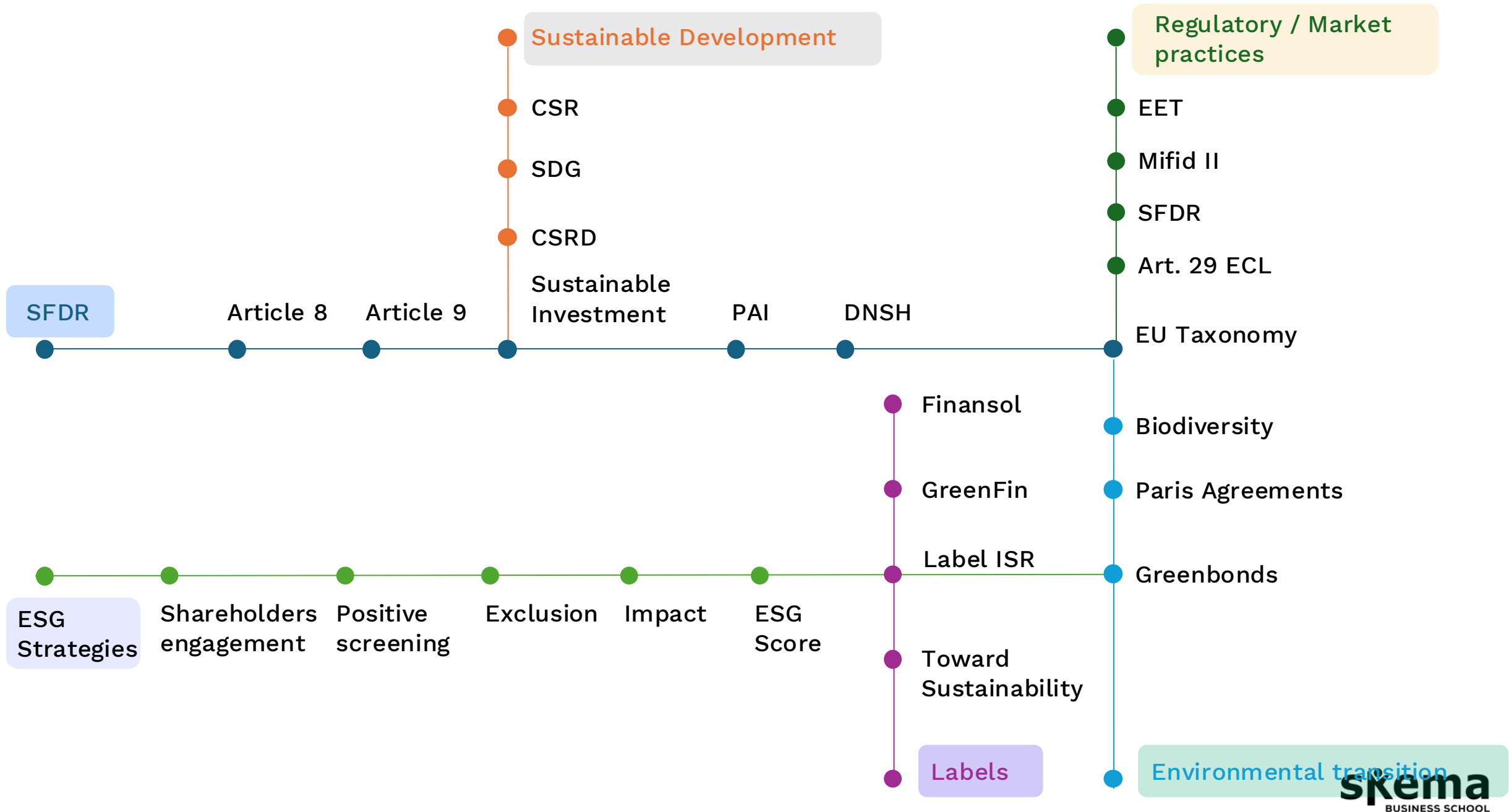
All financial actors beyond certain thresholds of revenue and employees.

Market
Practice

EET



Specialized exchange model for ESG data published in 2022 by FinDatEx in order to centralize information.



Module 3 : Impact investing

Distinguishing ESG practices from impact

ESG ("doing things well")

How are internal practices managed day to day?

- The "HOW": ESG mainly concerns the day-to-day management of a company.
- ESG performance is generally assessed against risk-management standards (limiting negative impacts) and, potentially, opportunities to capture.

Environment

- Waste management
- Carbon footprint
- Negative impacts on biodiversity

Social

- Health & safety at work
- Social dialogue
- Value sharing
- Skills development

Governance

- Functioning of decision-making bodies
- Fight against corruption
- Consideration of CSR issues

Impact ("doing good")

What are the impacts of the solution offered by the company (core business)?

- The "WHY/WHAT": impact refers to effects outside the company that have a positive effect on the environment and society (e.g. job creation in disadvantaged areas, sale of refurbished products)
- Impacts are measured against specific objectives intentionally set by the company



Defining the fund's extra-financial positioning

	Article 6	Article 8	Article 9	
Segment	Traditional investment	Responsible Investment	Sustainable investment	Impact investment
Objectives	Financial returns only	Financial returns factoring in ESG risks and opportunities	Financial returns and a sustainability objective	Investment "with impact"
Approach	No ESG approach	ESG criteria, exclusions, best-in-class, shareholder engagement	Funds with sustainable themes, "best-in-universe" funds, transition-oriented funds	Investment "for impact"
Types of players	Investment funds with no ESG approach	Responsible investment funds (all asset classes)	Funds targeting a 2°C alignment Green real-estate funds Green & Social bonds	Financial returns and predefined, measurable social and environmental objectives
				Predefined social and environmental objectives, taking priority over financial return
				Selection of companies based on their potential for impact and profitability
				Selection of companies or projects with high impact potential, ability to take risks / "additionality"
				Venture-capital funds financing impact companies with no compromise on financial return
				Investment or "venture philanthropy" firms targeting social / high-impact companies

In practice, there can be a form of continuity from ESG towards impact

What makes an investment ‘impact’?



Intentionality

The investor deliberately sets out, upfront, to generate a positive social or environmental effect alongside financial return.



Additionality

The capital, or the investor’s engagement, makes a difference that would not have happened otherwise, beyond what markets already provide.



Measurability

Impact is defined, tracked and reported against objectives, not assumed. Results feed back into decisions.

From avoiding harm to contributing to solutions · ABC framework (Impact Management Project)

Act to avoid harm

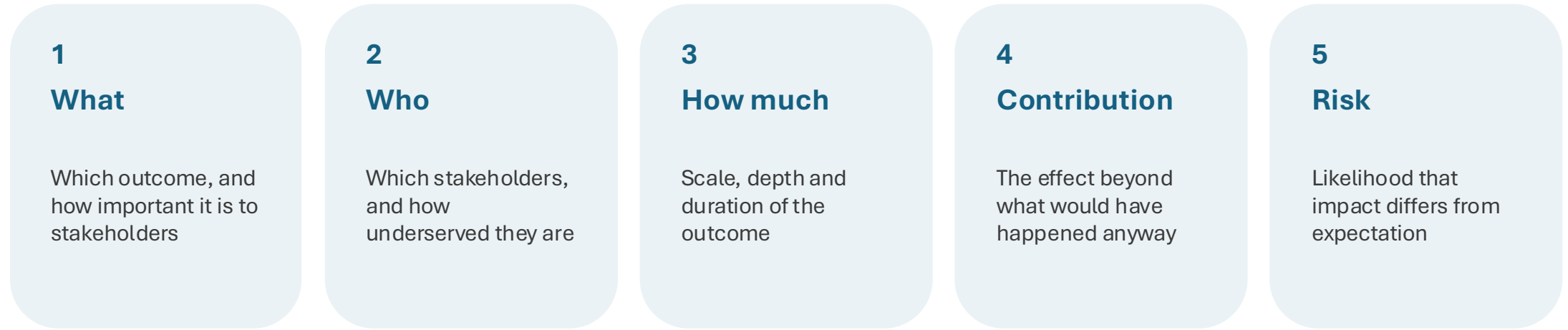
Benefit stakeholders

Contribute to solutions

Impact investing targets this end

Measuring impact: the five dimensions

A shared framework for what to measure, from the Impact Management Project.



Theory of change (logic model)



Reference standards: Impact Management Project (5 dimensions) · GIIN IRIS+ metrics · Operating Principles for Impact Management (OPIM)

The investor's contribution to impact

How investors add impact beyond the companies they finance.



Signal that impact matters

Direct capital toward impact and disclose the intent publicly.



Engage actively

Use stewardship, expertise and board influence to improve outcomes.



Grow new or undersupplied markets

Finance segments where mainstream capital is largely absent.



Provide flexible or catalytic capital

Accept lower or later returns, or more risk, to unlock impact.

Blended finance

Commercial senior capital (crowded in)

Concessional capital

Public / philanthropic first-loss

First-loss and concessional capital absorb early risk and crowd in private investors.

Examples of ESG- Impact tools in pre- investment

Example of impact analysis methods

Contribution to impact objectives

- ✓ Substantial contribution to one or more impact objectives
 - Main impacts (contribution levels × relevant revenue)
- ✓ Secondary impact (co-benefit of main impacts, bonus)

Control of ESG & Impact risks

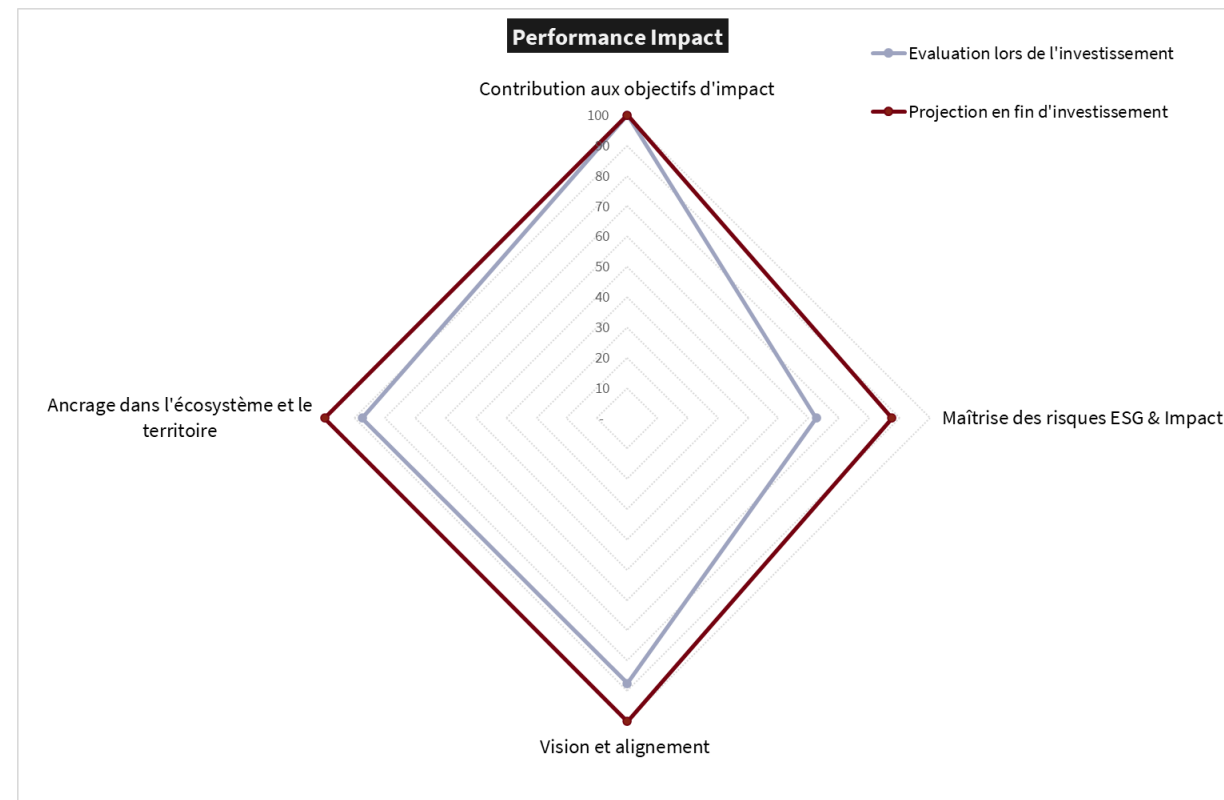
- ✓ Management of the risks of negative impacts and/or failure to achieve impact
- ✓ Overall level of CSR maturity

Vision and alignment

- ✓ Impact-driven steering (importance of impact vs. profitability, ability to set limits and make trade-offs, etc.)
- ✓ Impact management and measurement practices (mission preservation, impact measurement, indexing of remuneration, etc.)

Local (territorial) impact

- ✓ Level of local roots (job creation, local value chain, etc.)
- ✓ Active engagement with territorial and/or sector ecosystems



Example of scoring on substantial contribution (100 points max)

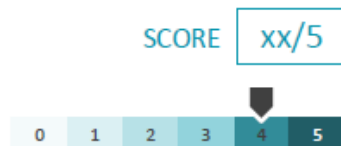
- 0 : No contribution
- 25 : Minor positive contribution
- 75 : Substantial, indirect positive contribution
- 100 : Substantial, direct positive contribution

Example of impact analysis

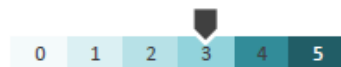
IMPACT SCORECARD

VISION AND ENGAGEMENT

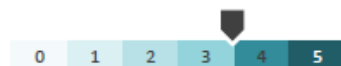
✓ Acuteness of the issue addressed



✓ Vision and purpose



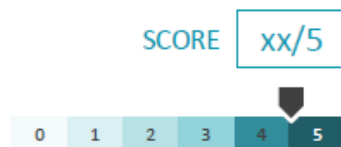
✓ Management commitment



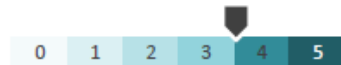
(shd)low high/advanced

SOLUTION AND CAPABILITIES

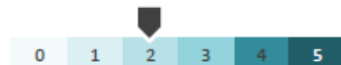
✓ Adequation/relevance of solution



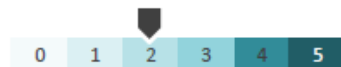
✓ Alternatives / differentiation



✓ Scalability and robustness



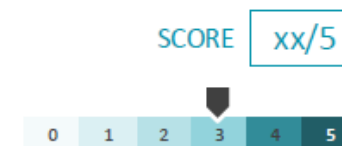
✓ Potential negative externalities



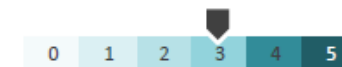
high low

AMBITION AND IMPACT MANAGEMENT

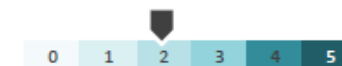
✓ Ambition level and systemic change potential



✓ Business model and strategy alignment



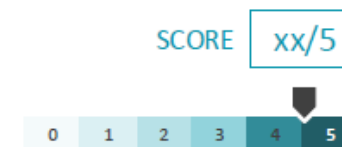
✓ Impact management (proof, references, ToC)



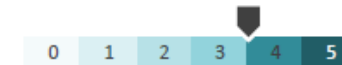
(shd)low high/advanced

CONFIDENCE LEVEL (RISKS EXPOSURE)

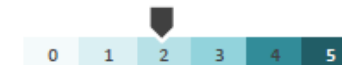
✓ Risks – regulations and standards



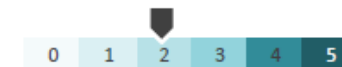
✓ Risks – procurement and autonomy



✓ Risks – operations and logistics



✓ Risks – usage (incl. client profiles) and adoption



High risk level Low risk level

Example of a simple impact analysis tool

Company A (prescreening > OK)

Rating	Criteria	Comment
●	Impact Alignment	Very Strong : Impact & profitability are aligned and mutually reinforcing within the business model; leadership articulates a clear and compelling impact vision
●	Impact Scale	High Potential : Very large but indirect impact, with measurable outcomes in terms of CO ₂ emissions avoided or biodiversity improvements.
●	Impact Innovation	High Contribution : A unique solution based on adjacent innovation (e.g., applying existing technologies to new markets or use cases), with clear potential to contribute to sector-level transformation.
●	Negative Impact Risks	Moderate Risk : The activity is expected to have minimal or no adverse environmental or social impacts, with a low operational footprint, no exposure to sensitive areas or vulnerable communities

Company B (prescreening > No Go)

Rating	Criteria	Comment
●	Impact Alignment	Low : The business model is not primarily impact-driven, and leadership does not articulate a clear, consistent, or credible impact vision for the future
●	Impact Scale	High Potential : Very large but indirect impact, with measurable outcomes in terms of CO ₂ emissions avoided or biodiversity improvements.
●	Impact Innovation	Very High contribution : A unique solution based on breakthrough or disruptive innovation (e.g., new business models that replace carbon-intensive incumbents), with strong potential to drive systemic, economy-wide change.
●	Negative Impact Risks	Critical Risk : The activity involves material environmental or social risks that may affect sensitive areas, supply chains, or stakeholders, where mitigation measures are challenging, creating a meaningful risk of environmental or social harm